

Meta Platforms, Inc.

META NASDAQ

Buy

\$667.46 ▲ 3.00%

12M Price Target
\$750.00

52-Week Range
\$520.26 – \$790.80

Market Cap
\$1.70T

META: Bucking AI Slowdown Fears, Ad Machine Still Humming

WHAT HAPPENED

- META ripped +3% to \$667 while the rest of tech was getting hammered on Anthropic's "AI slowdown" warning — that's a big tell. When AI infrastructure names (Micron -5%, Nvidia wobbly) sell off but META rallies, the market is basically saying "META isn't an AI capex story, it's an AI-powered ad business that actually monetizes today."
- Insiders sold ~\$13M last week (CPO Chris Cox dumped 20K shares at \$650) — worth noting but not alarming. Execs at mega-caps sell on schedule; the real red flag would be cluster selling from the CFO or Zuck himself, and we're not seeing that.

WHY IT MATTERS

Here's the key inference: the "AI slowdown" narrative is bifurcating the trade. Companies SELLING picks and shovels (Nvidia, Micron, cloud hyperscalers) are vulnerable because their revenue depends on other people's capex budgets. META is on the other side — they're the BUYER of those picks and shovels, and they're getting real ROI in the form of better ad targeting and Reels engagement. If Anthropic is right and AI spending moderates, META's own capex bill (they guided ~\$70B+ for 2026) could actually come down, which would fatten free cash flow — meaning cash left over after running the business — and juice the stock. The unusual call buying at \$655-665 strikes suggests fast money is positioning for exactly this: META decoupling from the AI infrastructure trade.

POLICY & POLITICAL WATCH

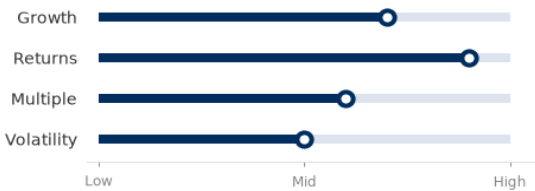
Two big things to watch: (1) The FTC's antitrust case seeking to break off Instagram and WhatsApp is grinding through appeals — a loss here is the single biggest tail risk, but timing is likely 2027+. (2) The Kids Online Safety Act (KOSA) variants keep resurfacing in Congress; if a strict version passes, it forces age verification and content restrictions that hit engagement. On the flip side, the Trump administration's lighter-touch approach to AI regulation (vs. the EU's AI Act) is a tailwind — META can deploy Llama models and AI ad tools domestically with fewer guardrails than European competitors face. Net-net: US policy environment is neutral-to-friendly, EU is the headwind.

IS IT EXPENSIVE?

Key Data

Price (USD)	\$667.46
12M Price Target	\$750.00
Upside / (Downside)	+12.4%
Market Cap	\$1.70T
FY2026E Revenue	\$195M
FY2027E Revenue	\$225M
FY2026E EPS	\$27.50
FY2027E EPS	\$32.00
Fwd P/E	24.3x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$710.00	\$680.00	\$620.00
6 Months	\$800.00	\$720.00	\$580.00
1 Year	\$875.00	\$750.00	\$550.00
2 Years	\$1000.00	\$820.00	\$500.00
5 Years	\$1400.00	\$1000.00	\$450.00
10 Years	\$2200.00	\$1500.00	\$400.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Communication Services (+2.26% today) leading the tape — META and GOOGL are the "AI beneficiaries without the capex hangover" trade. Healthcare bouncing on defensive rotation.

COOLING OFF: AI semis and infrastructure names getting whacked on Anthropic's demand warning. Consumer Discretionary flat-lining as tariff uncertainty lingers.

ROTATION WATCH: Money is moving from "AI arms dealers" (Nvidia, Micron, Broadcom) into "AI users" (META, GOOGL) — the thesis being that if capex slows, the folks writing the checks benefit while the folks receiving them suffer.

RELATED PLAY: If this rotation has legs, GOOGL is the obvious pair trade — same setup, cheaper multiple, but with Search disruption risk. APP (Applovin) is the small-cap version of the AI-ad-targeting thesis.

WHO'S WINNING IN THIS SPACE?

- GOOGL (Alphabet): Same "AI user not AI supplier" trade, plus Waymo optionality
- NFLX (Netflix): Ad-tier scaling nicely, insulated from AI capex debate entirely

META CONTEXT: META is leading its peer group today — up 3% while semis bleed. That relative strength on a bad tape for tech is exactly what you want to see. When a stock rallies on a day its "cousins" fall, it means real money is buying, not just index flows.

WHAT I'D DO WITH THIS STOCK

7/10 Conviction Score

CONVICTION: 7/10 — High-quality business at a fair price with a real AI monetization story, but not screaming cheap and FTC overhang caps my enthusiasm.

POSITION SIZE: 4-6% — big enough to matter, small enough that a regulatory shock doesn't wreck your year.

ENTRY POINTS: Current level is fine for starters; I'd add aggressively on any pullback to \$640 or below, especially if driven by macro (not company-specific) news.

TIME HORIZON: 12-18 months — the catalyst is 2026 ad revenue proving AI targeting is a durable tailwind, not a one-off.

WHEN TO BAIL: If ad revenue growth drops below 10% YoY two quarters in a row, or the FTC wins the Instagram case at the appellate level, exit.

HEDGING: If you're worried about a broad tech selloff, buy a small put position 10% below current price as insurance — costs a little, but sleeps well. Or just trim to 3% and keep dry powder for a real pullback.